

The monsoon forecast is not dramatic. The expected shortfall in rain is about 8%. Reservoir levels are higher than normal. Even though a lot of people depend on agriculture, the share of the sector in the economy has fallen quite a lot. Agriculture is no longer driving the growth story in India.

From a macro growth perspective, that alone is not necessarily a source of concern. Where the situation gets trickier this time around is there are two other dynamics at play. First, there is pressure on prices from the West Asia war. If food prices rise, that creates inflationary pressures, plus there's the fiscal pressure as well. That's where one could potentially see a magnifying effect of the food story.



The rupee has been weakening against the US dollar...

There were two major shocks in the past year—the US tariffs and the West Asia crisis. These shocks are equivalent to a terms of trade shock for India. First, there is the impact on exports, and then the cost of imports. Basic economic theory suggests that the domestic currency should depreciate. It's also benefi-

cial, because that's the price signal that tells you that you need to reduce consumption and makes exports more competitive.

The rupee is not the only currency that has suffered. The Thai baht and the Philippine peso have also depreciated. But the rupee has fallen more than others, though not by much. There are two reasons. One, there's the current account deficit. There's no reason to be fundamentally worried and most economists agree that a current account deficit of 2% of GDP is perfectly sustainable for a country like India.

However, over the past two, three years, there's also been pressure on the capital account. That is the one that's more mysterious in the sense that you've seen portfolio investment decelerating and net FDI at levels that are too low for a country that's growing like India. There is a question mark about what's driving these large repatriations on the FDI side. Portfolio flows are driven by investor sentiment and it's happening in a lot of emerging markets. FDI is a more Indian story, and it needs to be unpacked.

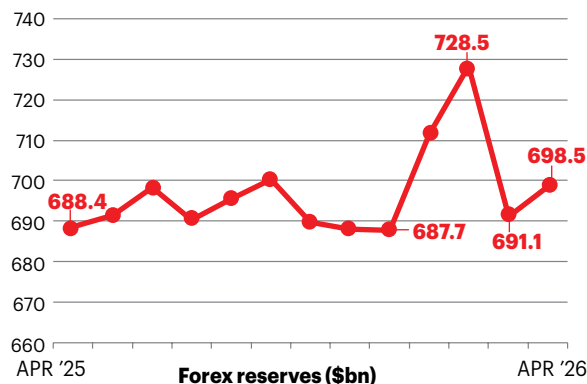
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for a year and curbing spending on fuel and fertilisers would help keep the current account deficit in check, given the significant spending undertaken on them. While gold imports fell in volume terms in FY26 by 4.7% to 721.03 tonnes, the value of such imports shot up 24% to \$71.98 billion. Nearly 57% of outward remittances under the Liberalised Remittance Scheme are for foreign travel. Meanwhile, silver imports have remained high all through FY26, both in value and volume terms, led by a rise in prices and demand. They surged by 42.03% in FY26 to 7,334.96 tonnes last fiscal, surging by nearly 150% in value terms to \$12.05 billion from FY25.

In April 2026 as well, gold imports surged nearly 82% year on year to \$5.6 billion, amounting to 7.8% of the total imports.

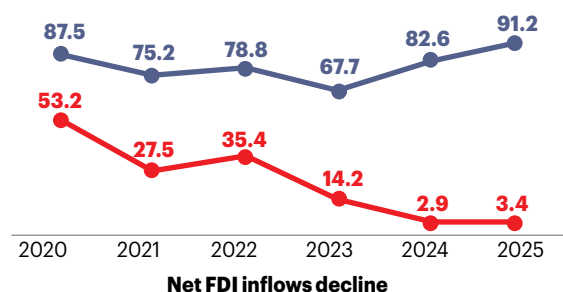
A report by JM Financial points out that oil accounts for nearly 20% of India's total imports, gold for about 9% and fertilisers for 2%. Close to 58% remittances of \$30 billion in FY25 under LRS have been for international

FOREX PRESSURE



SOURCE SBICAPS ECOCAPSULE

HEAVY OUTFLOWS



● GROSS FDI (\$ BN) ● NET FDI (\$ BN)

SOURCE MORGAN STANLEY RESEARCH